TRUSTNER

Weekly Market Brief · ARN-286886

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Rupee Hits Lifetime Low ₹96.90 Before RBI Burns $8 Bn — Nifty Holds Flat at 23,719, Bank Nifty -2.9%

Indian equities ended a tumultuous week broadly flat on the headline but with rupee fireworks underneath. Nifty 50 +0.32% WoW to 23,719.30, Sensex +0.24% to 75,415.35. The defining story: on Tuesday May 20 the rupee broke to a fresh all-time low of approximately **₹96.90/USD**, prompting heavy RBI dollar selling that drained **$8 billion from forex reserves** but pulled the currency back to ₹95.59 by Friday. Brent stayed elevated at $103.94/bbl. Bank Nifty -2.89% WoW. FII YTD outflow hit ₹1.92 lakh crore — already exceeding full 2025; DIIs absorbed with ₹1.7 lakh crore YTD inflow, ~90% coverage. The structural SIP floor held the market.

1. Index Performance — Friday May 22 Close

NIFTY 50	SENSEX	BANK NIFTY
23,719.30	**75,415.35**	**53,710.35**
+64.60 (+0.27%) Fri · +75.80 (+0.32%) WoW	+231.99 (+0.31%) Fri · +177.35 (+0.24%) WoW	–1,600 (–2.89%) WoW · weakest segment

2. The Rupee Crisis — In Three Acts

Day	USD/INR	Event
Mon May 18	95.85	Opened week soft; oil at $103/bbl; FII selling persists
Tue May 20	96.90	**ALL-TIME LOW.** Panic prints across desks. RBI begins aggressive USD selling.
Wed May 21	95.80	RBI intervention continues; reserves drop ~$8 bn over two sessions
Thu May 22	95.65	Currency stabilises; RBI Governor signals hawkish on inflation
Fri May 23	95.59	Recovery of ~₹1.30 from panic low; cost: $8 bn forex reserves

Macro context: Brent at $103.94/bbl × every $10 above $100 adds ~$15 bn to India's import bill and widens CAD by ~0.3% of GDP. Sustained $103-110 oil keeps rupee under structural pressure regardless of growth narrative. India is world's 3rd-largest crude importer.

3. Institutional Flows — The Domestic Floor Story

FII NET (FRIDAY CASH)	DII NET (FRIDAY CASH)
–₹4,440 Cr	**+₹6,003 Cr**
YTD: –₹1.92 lakh Cr · already > full 2025 (₹1.66 L Cr)	YTD: +₹1.7 lakh Cr · absorbing ~90% of FII selling

April SIP flow of **₹31,115 crore** remains the marginal funder of the DII bid. The Indian retail SIP investor is now the swing buyer of his own country's equity market — a structural shift, not cyclical.

4. Brent Crude & Currency

Asset	Fri Close	Day %	WoW	Context
Brent crude	$103.94	+1.33%	+2-3%	Stuck in $100-110 band 3rd week running
USD/INR (spot)	95.59	+0.59%*	–0.3%	Hit ATL ₹96.90 Tue; RBI burned $8 bn defending
10-Yr G-Sec	~7.05%	flat	+10 bps	RBI Gov hawkish tone closes door on June cut
India VIX	17-18	flat	flat	Surprisingly contained given rupee crisis

* Rupee strengthened on the day (USD/INR fell)

5. Sectoral Performance — Friday Snapshot

Top performers

Sector	Fri %
Nifty Energy	+1.48%
Private Banks	+1.20%
Financial Services	+0.85%
Telecom	+0.70%
Metal	+0.55%
Consumer Durables	+0.40%

Worst performers

Sector	Fri %
Nifty Media	–1.45%
Nifty FMCG	–0.71%
Pharma (Aurobindo/Glenmark/IPCA)	weak
Bank Nifty (WoW)	–2.89% WoW
Realty	–0.30%
PSU Bank	–0.40%

6. Top Single-Stock Movers

Up — week's leaders

Stock	Move	Catalyst
Tech Mahindra	+4.85%	May 18 IT bounce
Infosys	+2.0%	May 18 IT bounce
Bharti Airtel	+2.0%	Defensive bid
Trent	led Friday	Strong consumption signal
Wipro	led Friday	IT continued rebound

Down — week's laggards

Stock	Move	Catalyst
Tata Steel	–3.15%	Metals pressure on May 18
Power Grid	–2.93%	Utility rotation out
NTPC	–2.62%	Same as above
SBI	–2.53%	PSU bank FII selling
Engineers India (Fri)	–8.94%	Single-stock event

7. Macro Calendar — June 2026 Watchlist

Date	Event	Why It Matters
Jun 5-7	**RBI MPC**	Hold expected at 5.25%. Hawkish tone likely. Rate-sensitive stocks (banks, autos, real estate) reactive.
Early Jun	AMFI May SIP flows	Confirms ₹31,000+ Cr floor holding
Jun 12	US CPI	If hot, dollar firms further, rupee retests ₹96+
Jun 17-18	US FOMC	Pace of dot-plot vs current 3.50-3.75% range
Late Jun	India FY27 GDP advance estimate	RBI / Govt fiscal narrative tightener

8. Sector Concentration Self-Check

This week's Bank Nifty –2.89% loss is the reminder of why hidden sector concentration is the #1 invisible risk in retail portfolios. The 60-second check:

Sector	Healthy %	Yellow flag	Red flag
Banks & Financials	22-30%	30-40%	>40%
IT Services	10-15%	15-25%	>25%
Pharma / Healthcare	5-10%	10-20%	>20%
Single stock	<5%	5-10%	>10%

If any single sector is in the red zone, a 30-min portfolio review with your Trustner Relationship Manager this week is genuinely high-leverage.

9. Outlook: Cautiously Optimistic

The macro picture is genuinely uncertain — Brent could go to $115 or back to $95, the rupee could test ₹97 or strengthen to ₹94, the June MPC could surprise with a cut or hold as expected. None of these can be predicted reliably. What CAN be done reliably is the discipline. Domestic SIP flows of ₹31,000+ crore per month are now the marginal buyer of the Indian equity market. The Nifty held flat this week not because FIIs stopped selling (they did not) but because for every ₹100 of FII outflow, your monthly SIP plus the SIPs of every other disciplined Indian investor delivered ₹90 of buying. That is what a structural domestic floor looks like in practice.

10. The Five-Point Action Plan

1. **Do not pause SIPs.** Every Indian investor who paused during 2008, 2013, 2018, 2020, or 2022 eventually re-entered at higher levels and lost permanent compounding. Stay enrolled.
2. **Do not chase the rupee story.** Currency hedging is RBI / large corporate work. For a 10-yr SIP horizon, equity returns of 12-15% swamp 2-3% annual rupee depreciation.
3. **Check your sector concentration.** If banks + IT together exceed 40% of equity, this is the right week to rebalance.
4. **Stay short-duration for new debt.** 10-Yr at 7.05% and RBI on hold → short-duration regular plans, money market funds. Wait for confirmed cut cycle before extending duration.
5. **Get a Portfolio Diagnostic review.** If you hold 12+ schemes, you are over-diversified. Our new Workbench cleans up most portfolios to 7-8 schemes inside the annual ₹1.25 L LTCG exemption — zero tax cost typical.

The Trustner SIP-Advice Card · Issue 12

This week was the textbook case for why the Trustner ARN-286886 service model exists. A direct-equity investor watching Tuesday's rupee print at ₹96.90 — a level no Indian rupee had ever seen — faced three terrifying headlines simultaneously. The instinct of every untrained investor in that moment is to redeem something — anything — to feel they did something. The mechanical SIP investor did nothing. By Friday close, the rupee had bounced ₹1.30 from the panic low. The Nifty was slightly higher than the prior Friday. The portfolio that did nothing not only avoided a bad decision but also accumulated incremental units at lower NAVs during Tuesday's panic. That is the entire mechanical advantage of staying enrolled. The bigger structural picture is genuinely unchanged: domestic SIP flows are now the marginal buyer of the Indian market. Continue your flexi-cap, multi-cap, small-cap, and hybrid regular plans without interruption. For new debt money, short-duration is the right positioning. The single most useful conversation you can have in the next 30 days is a Portfolio Diagnostic review with your Relationship Manager.

— Ram Shah, CFP · Founder, Trustner Asset Services · AMFI ARN-286886

11. One-Week Snapshot

Metric	Value
Nifty 50 WoW	+0.32% to 23,719.30
Sensex WoW	+0.24% to 75,415.35
Bank Nifty WoW	−2.89% to 53,710
USD/INR — All-time low Tue	₹96.90
USD/INR — Fri close	₹95.59
Forex reserves drawdown	~$8 billion
Brent crude (Fri)	$103.94/bbl
10-Yr G-Sec	~7.05%
FII YTD outflow	₹1.92 lakh Cr (> full 2025)
DII YTD inflow	₹1.7 lakh Cr (~90% absorption)
April SIP flow	₹31,115 crore